23STCV11939 23STCV11939

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-07-22

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Case Number: 23STCV11939 Hearing Date: July 22, 2026 Dept: 11

Final
Approval of Class Action Settlement

Department SSC-11

Green v. Morgan
Cookie Group Culver, LLC, et al.

Case Number: 23STCV11939

Hearing: July 22, 2206

TENTATIVE
RULING

Continue
for counsel to address the following:

At Preliminary approval, based on a review of their records through mediation, Defendants estimated there are 873 Class Members who collectively worked a total of 18,013 Class Workweeks and 683 of Aggrieved Employees who worked a total 13,691 of PAGA Pay Periods. (Settlement Agreement, ¶4.1)

Now at final approval, there are 1,114 Class Members and 1,112 Participating Class Members who worked a total of 36,527 Workweeks during the Class Period and 1,020 Aggrieved Employees who worked a total of 24,590 Pay Periods during the PAGA Period. (Salinas Decl., ¶10, 13.)

This is quite an increase in the Class/Aggrieved Employee Size as well as amount of Workweek/PAGA Period, yet the GSA has not increased. Why is the Settlement still fair, adequate, and reasonable in light of this large increase?

BACKGROUND

This is a wage and hour class action. Defendants Morgan Cookie Group Culver LLC; Morgan Cookie Group; Morgan Cookie Group Downey LLC; and Pockets Smitty LLC ("collectively "Pocket Smitty Defendants") are franchisees of CRUMBL LLC which is a franchise chain of bakeries in the United States and Canada that specializes in baking and delivering a variety of cookies. Defendants employed Plaintiff in California as a baker and cashier from about May 24, 2022 until September 15, 2022.

On May 25, 2023, Plaintiff commenced this Action by filing a Complaint alleging causes of action against Defendants for failure to pay wages, failure to authorize and permit rest periods, failure to provide meal periods, failure to indemnify for business expenses, failure to issue proper wage statements, failure to timely pay wages, failure to maintain required payroll records, and related claims.

On June 9, 2023, Plaintiff filed a First Amended Complaint alleging causes of action against Defendants for failure to pay wages, failure to authorize and permit rest periods, failure to provide meal periods, failure to indemnify for business expenses, failure to issue proper wage statements, failure to timely pay wages, failure to maintain required payroll records, and related allegations. The First Amended Complaint is the operative complaint in the Action (the "Operative Complaint.")

Pursuant to Labor Code section 2699.3, subd.(a), Plaintiff gave written notice to Defendants and the LWDA by sending the PAGA Notice.

Counsel represents that the Parties engaged in an informal, voluntary exchange of information in the context of privileged settlement discussions to facilitate an early mediation wherein: 1) Defendants produced Plaintiff's entire personnel file (including policies and agreements she signed and acknowledged) and copies of their relevant company written policies; 2) Defendants produced the records of approximately 18% of the Class Members; 3) Defendants produced time and payroll records for the 158 randomly selected Class Members; 4) Plaintiff retained James Toney, a data analyst, to analyze the sample and employed the Raosoft1 Sample Size calculator (http://www.raosoft.com/samplesize.html) to ensure the sample size selected is statistically reliable; and 5) Defendants disclosed their bank statements, tax returns, and related information.

On March 8, 2024, the Parties participated in an all-day mediation presided over by mediator the Honorable Ann Jones (ret.). Although they did not settle, the Parties later engaged in direct settlement negotiations, which led to the Agreement to settle the Action.

A fully executed amended settlement agreement was filed with the Court on February 14, 2025 attached to the Declaration of David Spivak ("Spivak. Decl.") ISO Preliminary Approval as Exhibit 1.

On June 18, 2025, the Court issued a checklist of items and continued preliminary approval. In response, on September 19, 2025, counsel filed a fully executed Addend Settlement Agreement attached to the Supplemental Declaration of David Spivak ("Spivak. Supp. Decl.") ISO Preliminary Approval as Exhibit B.

Preliminary Approval was granted on January 12, 2026. Notice was given to the Class Members as ordered. (See Declaration of Jarrod Salinas ("Salinas Decl.").)

Now before the Court is the motion for final approval of the settlement agreement.

CLASS DEFINITION AND ESSENTIAL MONETARY TERMS OF SETTLEMENT AGREEMENT

· "Class" means all persons employed or otherwise contracted by (i) Pockets Smitty Green v. Morgan Cookie Group Culver LLC, et al. Class Action and PAGA Settlement Agreement Two, LLC; (ii) Pockets Smitty Riverside, LLC; (iii) Pockets Smitty Upland, LLC; (iv) Pockets Smitty Menifee, LLC; (v) Morgan Cookie Group, LLC; (vi) Morgan Cookie Group Culver, LLC; (vii) Pockets Smitty Fontana, LLC; (viii)

Morgan Cookies Group Downey, LLC; (ix) Pockets Smitty Corona, LLC and/or (x) Pockets Smitty Rosemead, LLC as non-exempt, hourly employees during the Class Period. (Settlement, ¶1.4.)

"Class Period" means the period from May 25, 2019 to the date of preliminary approval of this Settlement. (¶1.11)

"Aggrieved Employee" means a person employed or otherwise contracted by (i) Pockets Smitty Two, LLC; (ii) Pockets Smitty Riverside, LLC; (iii) Pockets Smitty Upland, LLC; (iv) Pockets Smitty Menifee, LLC; (v) Morgan Cookie Group, LLC; (vi) Morgan Cookie Group Culver, LLC; (vii) Pockets Smitty Fontana, LLC; (viii) Morgan Cookies Group Downey, LLC; (ix) Pockets Smitty Corona, LLC and/or (x) Pockets Smitty Rosemead, LLC as non-exempt, hourly employees during the PAGA Period. (¶1.3)

"PAGA Period" means the period from April 4, 2022 to the date of preliminary approval of this Settlement. (¶1.32)

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Based on a review of their records through mediation, Defendants estimates there are 873 Class Members who collectively worked a total of 18,013 Class Workweeks and 683 of Aggrieved Employees who worked a total 13,691 of PAGA Pay Periods. (¶4.1)

There are 1,114 Class Members and 1,112 Participating Class Members who worked a total of 36,527 Workweeks during the Class Period. (Salinas Decl., ¶10.) There are 1,020 Aggrieved Employees who worked a total of 24,590 Pay Periods during the PAGA Period. (Id. at ¶13.)

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The Gross Settlement Amount ("GSA") is $450,000, non-reversionary. (¶3.1)

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The Net

Settlement Amount (“NSA”) of $202,500 is the GSA minus:

o Up to $150,000 (33.3%) for attorneys’ fees (¶3.2.2);

o Up to $20,000 for attorneys’ costs (¶Ibid.);

o Up to $15,000 for an Enhancement Payment to the class representative (¶3.2.1);

o Up to $25,000 for costs of settlement administration (¶3.2.3); and

o Payment of $3,750 (75% of $5,000 PAGA penalty) to the LWDA (¶3.2.5).

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Defendants will separately pay for employer payroll taxes, which is not included in the Gross Settlement Amount. (¶3.1)

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Funding of the Settlement: Defendants have agreed to deposit $175,000 of the Gross Settlement into an account controlled by the Administrator of the Settlement within 15 days of the Court granting final approval. Thereafter, Defendants will make 24 monthly contributions to the account controlled by the Administrator until the balance of the Gross Settlement Amount is reached based on the payment schedule described in section 4. The first of the monthly installment payments will be paid 30 days after the initial $175,000 payment. Defendants will make each of the next 23 payments every 30 days thereafter. The 24 monthly payments will be in equal amounts of $11,458.33 though the last and the final payment will be in the amount of $11,458.41. Defendants will also fund the amounts necessary to fully pay Defendants’ share of payroll taxes by transmitting the funds to the Administrator for each distribution. Defendant CRUMBL LLC is not obligated to fund any portion of the Gross Settlement Amount. (¶4.3)

o Defendant has provided a declaration evidencing the need for a payment plan. (Declaration of Timmy Smith, passim.)

· Payments from the Gross Settlement Amount: The Administrator will make a total of three distributions. The first distribution will occur 14 days after the Effective Date. The second distribution will occur 14 days after the 12th monthly installment payment and the third and last distribution will occur 14 days after the last and final monthly installment payment. For each distribution, the Administrator will mail checks for all pro rata Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. Class Counsel and Plaintiff shall receive their pro rata shares of each distribution only after the Participating Class Members have been fully paid their pro rata shares of each distribution. (¶4.4)

· Uncashed Checks: The Administrator will cancel all checks not cashed by the Void Date (not less than 180 days after the date of mailing). (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.4.3)

· The proposed Settlement Agreement was submitted to the LWDA on February 14, 2025. (Spivak Decl. ISO Preliminary Approval, ¶80 and Exhibit 19 thereto.)

ANALYSIS
OF SETTLEMENT AGREEMENT

A.
Does
a presumption of fairness exist?

The Court preliminarily found in its Order on January 12, 2026 that the presumption of fairness should be

applied. No facts have come to the
Court’s attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B. Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 1,114 (Salinas Decl., ¶3.)

Number of notice packets mailed: 1,114 (Id. at ¶5.)

Number of undeliverable notices: 0 (Id. at ¶6.)

Number of opt-outs: 2 (Id. at ¶7.)

Number of objections: 0 (Id. at ¶8.)

Number of participating class members: 1,112 (Id. at ¶10.)

Average individual payment: $211.33 (Id. at ¶12.)

Highest estimated payment: $2,341.83 (Ibid.)

Lowest
estimated payment: $6.434 (Ibid.)

Number of
Aggrieved Employees: 1,020 (Id. at ¶13.)

Average PAGA
payment: $1.23 (Ibid.)

Highest
estimated PAGA payment: $10.22 (Ibid.)

Lowest
estimated PAGA payment: $0.05 (Ibid.)

The Court finds that the notice was
given as directed and conforms to due process requirements. Given the reactions of the Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C.
Attorney
Fees and Costs

Class Counsel request $150,000 (33%) in fees and litigation costs and expenses in the amount of $14,182.97 to Class Counsel. (Motion ISO Final, 1:16-2:6.) The Settlement provides for attorney's fees up to $150,000 (33%) and costs of $20,000 (Settlement Agreement, ¶3.2.2); the class was provided notice of the requested awards and none objected. (Salinas Decl., ¶8 and Exhibit A thereto.)

The
following fee split has been agreed to herein: If the total legal fees received in this case are $250,000.00 or greater, it is agreed that Smith Law shall receive 33 and 1/3% of the total legal fees received and the Spivak Law Firm will receive the remaining 66 and 2/3% of the total legal fees received. If the total legal fees received in this case are less than $250,000.00, it is agreed that Smith Law will receive 25% of the total legal fees received and the Spivak Law Firm shall receive the remaining 75% of the total legal fees received. (Exhibit D to Spivak Supplemental Declaration. ISO Preliminary Approval)

“Courts recognize two methods for
calculating attorney fees in civil class actions: the lodestar/multiplier
method and the percentage of recovery method.”
(Wershba at 254.)
Here, class counsel requests attorney fees using the percentage method.
(Motion ISO Final, pgs. 5-9.)

The fee
request represents 33% of the gross settlement amount which
is the average generally awarded in class actions. See In
re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13
(“Empirical studies show that, regardless whether the percentage method or the
lodestar method is used, fee awards in class actions average around one-third
of the recovery.”).

Counsel
has provided the following lodestar information:

FIRM

HOURS

RATE

TOTAL

The Spivak Law Firm

297.11

$150 - $950

$116,201.75

Smith Law

20.50

$800

$16,400.00

TOTAL

317.61

$132,601.75

(Spivak Decl. ISO Final, ¶19 and Exhibit H thereto; Smith Decl. ISO Final, ¶¶9-10, and Exhibit thereto.)

Therefore, Class Counsel has spent a total of 317.61 hours on this matter, for a total loadstar of $132,601.75, resulting in a multiplier of 1.13 to reach the fee request. (Ibid.)

As for costs, class counsel has incurred costs of $14,182.97. (Spivak Decl. ISO Final, ¶20 and Exhibit I thereto; Smith Decl. ISO Final, ¶12 and Exhibit B thereto.) Class Counsel is requesting $14,182.97 in costs, which is less than the settlement cap of $20,000. (Ibid.) The costs in this case include, but are not limited to, costs associated the filing/service costs (>$1,491.17), expert data analysis (JT Calc) ($1,550), File & ServeXpress costs, and mediation costs ($7,450). (Ibid.) The costs seem reasonable and necessary to litigation. (Ibid.)

Based on the above, the recommendation is to award $150,000 (1/3) for fees and $14,182.97 for litigation costs.

D. Incentive Award to Class Representative

The Settlement Agreement provides for up to $15,000 for an incentive award to the class representative. (Settlement Agreement, ¶3.2.1.)

Plaintiff Green represents that her contributions to this litigation include spending at least 39.02 hours on the following: obtaining counsel, gathering documents, reviewing documents, answering counsel’s questions, identifying witnesses, participating in mediation, and reviewing the settlement agreement. (Declaration of Plaintiff Green, ¶7 and Exhibit A thereto.)

The court notes that these efforts are commendable, but not exceptional. Based on the above, the recommendation is to award an enhancement award in the amount of $7,500.

E.
Claims
Administration Costs

The claims administrator requests $25,000 for the costs of administering the settlement. (Salinas Decl., ¶15.) This is equal to the $25,000 maximum amount estimated in the Settlement Agreement; (Settlement Agreement, ¶3.2.3); and disclosed in the notice to class members, to which there were no objections.(Salinas Decl., ¶8 and Exhibit A thereto.)

Based on all the work performed by the Claims Administrator, the recommendation is to award costs in the requested amount of $25,000.